STUDENT LOAN REPAYMENT SERVICE AGREEMENT
NAVPERS 12300/22 (Rev. 10-2024) Supporting Directive BUPERSINST 12300.3

PRIVACY ACT STATEMENT

AUTHORITY: 5 U.S.C. 5379.
PRINCIPAL PURPOSE: To facilitate the repayment of student loans, where authorized.
ROUTINE USES: To agree to the terms of the DON Student Loan Repayment Program.
DISCLOSURE: Voluntary, but choosing not to provide the requested information will preclude any payments by the Department of the Navy.

Title 5 U.S.C., 5379 allows repayment of outstanding federally insured student loans made by educational institutions or banks and other private lenders as authorized by the Higher Education Act of 1965 and the Public Health Service Act. Student loan repayments made directly to the lender are subject to the conditions stated in this agreement. Use of this authority in no way constitutes a right, promise, or entitlement for continued employment or noncompetitive conversion to competitive service.

I. CONDITIONS OF EMPLOYMENT

The DON agrees to provide a student loan repayment benefit to:

1. Employee Name: 2. Position Title:

Subject to the conditions of employment stated in this document.

1. The employee agrees to an additional year of service for each increment of $10,000 paid beyond the initial yearly maximum of $10,000;
2. Repayments will cease if the employee leaves the activity prior to completion of service agreement; and
3. State other conditions of employment specific to each agreement as described in 5 CFR 537.107(A):

II. CONDITIONS OF LOAN REPAYMENT

I agree to complete _____ years *(minimum of 3 years)* service.

My period of service begins on the date Defense Finance and Accounting Service (DFAS) makes the first payment to the holder of my loan.
In return, the DON will make payments on my outstanding federally insured loan to:

Repayment Amount Total: _____ Years: _____

Increases or renewals made under this part not to exceed $10,000 each calendar year up to a lifetime total of $60,000 may not be made without requiring a new period of service. If increases or renewals are made, DFAS will be provided a new, revised copy of this service agreement reflecting the amendments.

III. LOAN REPAYMENT PROCEDURES

DFAS will make payments to the lender on a bi-weekly basis. It will determine the amount to be paid by dividing the annual repayment amount by the number of pay periods in the year for which payments are made. This usually will be 26 payments per year, except for years having 27 pay periods. In those cases, 27 bi-weekly payments will be made. The loan repayment amount will be considered as taxable wages and tax withholding will be made on a bi-weekly basis as appropriate. The Department of Defense (DoD) is not responsible for any late fees or penalties assessed by the loan holder(s) prior to, during, or subsequent to this agreement.

IV. REIMBURSEMENT OF LOAN REPAYMENT BENEFIT

I understand I will no longer be eligible for the loan repayment incentive if I voluntarily end my employment with the DON, am separated for reason of misconduct or performance, fail to maintain an acceptable level of performance (as defined by each DoD Component), or in any way violate the terms of this agreement.

1. Employee Name: 2. Signature: 3. Date:

I CERTIFY THAT I HAVE DISCUSSED THE CONDITIONS OF THE STUDENT LOAN REPAYMENT PROGRAM WITH THE EMPLOYEE.

4. BUPERS-05 Representative Name: 5. Signature: 6. Date: